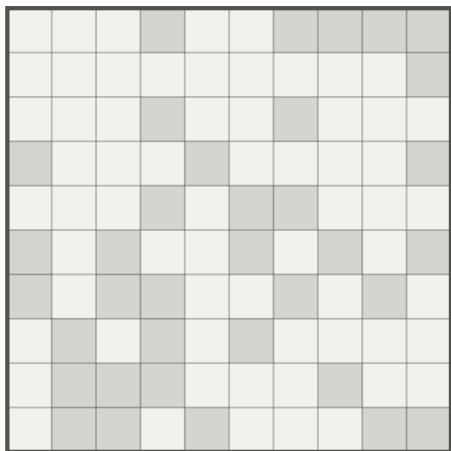


How the factor model summarizes the trade data

one period of trade

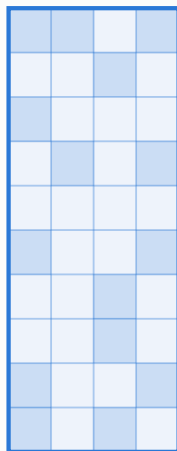
N exporters x N importers



N x N numbers

who exports alike

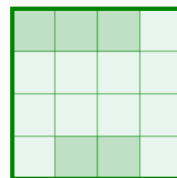
N countries, K export hubs



who belongs where

≈

×



dollars between hubs

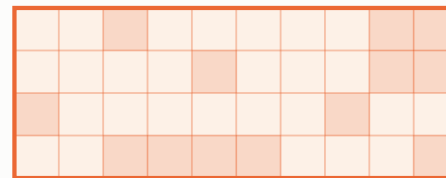
K x M: export hub to import hub

the compressed picture

×

who imports alike

M import hubs over N countries



who belongs where

One period of country-to-country flows is compressed into: hubs of exporters that move together, hubs of importers, and a small table of dollars between the hubs. Estimated on a single year the hub memberships are fixed (Section 2); estimated on a rolling window they can move, and a shift in them is what the model reports as a structural break (Section 3).